

of protective committees to court scrutiny. (In the case of railroads a committee cannot take part in a proceeding without prior permission from the I.C.C.) Further legislation will probably be enacted regulating in more detail the formation as well as the subsequent conduct of protective committees.

A Recommended Reform. The whole procedure might readily be clarified and standardized now that the trustee under the indenture is expected to assume the duty of *actively* protecting the bond issue. The large institutions which hold these positions have the facilities, the experience, and the standing required for the successful discharge of such a function. There seems no good reason, in the ordinary case, why the trustee should not itself organize the protective committee, with one of its executive officers as chairman and with the other members selected from among the larger bondholders or their nominees. The possible conflict of interest between the trustee as representative of all the bondholders and the protective committee as representative of the depositing holders only will be found on analysis rarely to be of more than technical and minor consequence. Such a conflict, if it should arise, could be solved by submission of the question to the court. There is no difficulty about awarding sufficient compensation to the trustee and its counsel for their labors and accomplishment on behalf of the bondholders.

This arrangement envisages effective cooperation between the trustee and a group of bondholders who in the opinion of the trustee are qualified to represent the issue as a whole. The best arrangement might be to establish this bondholders' group at the time the issue is sold, *i.e.*, without waiting for an event of default to bring it into being, in order that there may be from the very start some responsible and interested agency to follow the affairs of the corporation from the bondholders' standpoint, and to make objections, if need be, to policies which may appear to threaten the safety of the issue. Reasonable compensation for this service should be paid by the corporation. This would be equivalent in part to representation of the bondholders on the board of directors. If the time were to arrive when the group would have to act as a protective committee on behalf of the bondholders, their familiarity with the company's affairs should prove of advantage.